
MiFID II Optional Exemptions and Harmonisation

Article 3, Fondee, and the limits of national discretion

GROUP PRESENTATION

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Core materials: MiFID II Article 3 and CJEU Case C-695/22, Fondee



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MIFID II Overview

WHAT IS MiFID II?

Directive 2014/65/EU | In force: January 2018

Markets in Financial Instruments Directive II is the EU's comprehensive legislative framework for investment services across all 27 Member States. It is the recast of MiFID I (2004), designed after the 2008 financial crisis to address transparency gaps, strengthen investor protection, and build a true single market for financial services.

27

Member
States

1999

FSAP
Origin

2018

Into
Force

MiFID I (2004) → MiFID II (2018) alongside MiFIR (Reg. 600/2014)

CORE OBJECTIVES



Harmonisation

Single Rulebook

Elimination of regulatory fragmentation across the Member States.

It builds the European financial single market under Article 53(1) TFEU.



Investor Protection

Best Interests of Clients

Mandates conduct of business rules, suitability assessments, cost transparency, and product governance to ensure clients receive appropriate advice and information.

KEY PILLARS



European Passport

1

Single authorisation in home state grants access to all 27 Member States via Articles 34–35.



Market Transparency

2

Pre- and post-trade transparency for equities, bonds, derivatives and structured products.



Market Structure

3

Three-tier venue framework
Regulated Markets, MTFs and the new
OTF category.



Third-Country Regime

4

Equivalence framework for non-EU firms; no passport without EU authorisation.

Where Article 3 Sits in MIFID II

Directive 2014/65/EU — Structural Position and Legislative Context

MIFID II SCOPE ARCHITECTURE

FULL SCOPE — Art. 1

Investment firms · Market operators · Data reporting services providers · Third-country branches

MANDATORY EXEMPTIONS - Art. 2

Insurance · Intra-group services · ESCB · Pension funds · Emission operators · Ancillary commodity traders

OPTIONAL DEROGATION - Art. 3 ★

Member State discretion · Domestic firms only · Analogous requirements · No EU passport

AUTHORISATION + PASSPORT - Arts. 5–23 + 34–35

Full MiFID investment firm · Capital requirements · EU passport (Arts. 34–35) · ESMA supervision

ARTICLE 3 IN CONTEXT

Not Art. 2: A conditional derogation

Art. 2 removes firms from MiFID II by EU law automatically. Art. 3 requires an affirmative Member State choice and imposes positive obligations in return — including analogous requirements and ESMA notification.

Before Arts. 5–23: A threshold question

Placed between the scope rules and the authorisation framework. The Directive asks: does Art. 3 apply? Only if the answer is no does it proceed to authorisation. Art. 3 is structurally a gate.

Separate from Arts. 34–35: No passport track

Art. 3(3) expressly excludes exempt firms from the EU passport. The two tracks are mutually exclusive: domestic derogation or EU-wide passport, a firm cannot hold both simultaneously.

Article 3

MiFID II

LEGAL NATURE



Conditional Derogation

Affirmative MS choice ≠ Art. 2 auto-exemption



Threshold Gate

Assessed before Arts. 5–23 authorisation rules



Exemption from MiFID II

Firm exits full Directive: operates under national law only

GOALS & RATIONALE



Proportionality

Art. 5(4) TEU · Recital 42



Domestic Autonomy

Protects national intermediary frameworks



Investor Floor

Derogation ≠ deprotection



Subsidiarity

Limited-activity firms · purely domestic scope

ART. 3(1) — CONDITIONS

No Client Assets

Never holds funds or securities

Reception-Transmission + Advice Only

Transferable securities & CIUs · no execution

Closed Counterparty List

MiFID firms · CRD IV banks · authorised CIUs

ART. 3(2) — REQUIREMENTS

Analogous Authorisation + Supervision

Arts. 5, 7–10, 21–23 equivalents

Conduct of Business Rules

Suitability · best interests · disclosure (Arts. 24–25)

Investor Compensation

Dir. 97/9/EC scheme or PI insurance

ART. 3(3) — CONSEQUENCE

No EU Passport

Arts. 34 & 35 expressly excluded

Domestic Operation Only

National authorisation · no mutual recognition

Upgrade Path

Cross-border requires full MiFID II authorisation

The Czech Transposition Law

WHAT MEMBER STATES MAY CHOOSE

- ✓ Whether to activate Article 3 at all
- ✓ How the domestic license and supervision work

WHAT MEMBER STATES MAY NOT CHOOSE

- **Expanding the exempt firm's services beyond Article 3**
E.g. Member States cannot allow exempted firms to manage customers' assets
- **Blocking transmission to MiFID firms in other Member States???**

Czech Republic introduced a further limit:

- Domestic intermediaries without a MiFID passport were **prohibited** from transmitting client orders to investment firms established in other Member States.

Regulatory justification: keeping order transmission within the Czech supervisory perimeter would make oversight and investor-protection enforcement easier for the national authority.

Fondee in 30 seconds

The concrete dispute was simple but important:

- Fondee was a Czech investment intermediary, not a fully authorised MiFID firm.
- Tri-party order flow: customers $\Leftrightarrow$ Fondee $\Leftrightarrow$ DeGiro
- Czech law effectively treated that foreign transmission as prohibited.

CASE TIMELINE



Court of Justice of the European Union · Luxembourg



Preliminary Ruling and Legal Question - Case C-695/22 (Fondee)

Reference Article 267 TFEU by Prague Court

Case concerns Article 3(1)(c) MiFID II interpretation, read with Art. 34 MiFID II and Art. 56 TFEU

Facts triggering reference:

Fondee (Art. 3 exempted intermediary) transmitted 407 client orders to a Dutch MiFID-authorized firm; fined under Czech law prohibiting cross-border transmission

Legal uncertainty:

Scope of Art. 3 exemption: purely domestic or functionally cross-border?
Compatibility of national restriction with harmonised EU framework

Question reformulated by CJEU:

Does Art. 3(1)(c)(i) allow transmission to firms in other Member States?
Does it preclude national prohibitions?

Key methodological issue

Whether MiFID II constitutes full harmonisation
Whether national measures fall under the Directive or Art. 56 TFEU

CJEU provides binding interpretation of EU law → National court must apply and disapply conflicting national provisions

CJEU Interpretation, Judgment and Effects

1 Method and reasoning

- **Art. 3 MiFID II** in cross-border context
- MiFID II establishes **full harmonisation** of rules on reception & order transmission
- National measures assessed **only under MiFID II, not Art. 56 TFEU**

Art. 3(1)(c)(i):

Exempted firms may transmit orders to “**investment firms authorised in accordance with this Directive**”

CJEU: includes any EU-authorized firm, **not only domestic ones**

2 Interpretation and Ruling

CJEU ruling (Art. 3(1)(c)(i)) interpretation:

- Exempted firms **may transmit orders cross-border to any MiFID-authorized**
- Transmission to firms in other Member States is permitted, not service providing.

National law:

- Czech prohibition on transmission to foreign firms is **precluded by EU law**

Reason: Adds a territorial restriction **not contained in MiFID II**

3 Legal Effects of Judgment

Direct (case level):

- National court must **disapply conflicting law**
- **Czech fine cannot be upheld**

Indirect:

- **Binding across EU courts, regulators**
- No add. territorial limits under **Art. 3**
- National **regimes must align**

System effect:

- Reinforces **uniform applic. of MiFID II**
- Limits national regulatory discretion

Optional exemptions under Art. 3 MiFID II do not permit Member States to restrict cross-border transmission of orders beyond the Directive.

Competition, Arbitrage and Investor Protection

The real question is whether national supervision may be simplified by adding barriers that weaken the single market.

WHY NATIONAL RESTRICTIONS APPEAL

- an easier supervision for the home authority
- fear that exempt firms become cross-border back doors
- apparent extra protection for retail investors

WHY FONDEE REJECTS THEM

- distorts fair competition and market access inside the EU
- anti-arbitrage concerns must be managed within Article 3, not against it
- investor protection also means choice, price pressure and common EU standards

Key point: Article 3 remains proportionate only if it is not turned into a hidden market barrier.

Regulatory autonomy vs EU market integration

MAIN IMPLICATIONS

1 Harmonisation is the starting point

EU financial regulation is built on mutual trust and common standards.

Article 3 cannot be used to recreate national barriers inside the single market.

2 National discretion still exists

Member States may decide whether to use the optional exemption and may organise domestic supervision of exempt intermediaries.

3 But discretion has clear limits

Once the exemption is chosen, its core scope cannot be narrowed in a way that contradicts the text, purpose and integration logic of MiFID II.

Fondée redraws the boundary: discretion at the entry point, harmonisation in the operation of the exemption.

Conclusion

1

**Article 3 is optional
only at the entry
point.**

2

**Once chosen, its
core conditions are
fixed by EU law.**

3

**Fondee turns
harmonisation from
theory into an
operational rule.**

Member States may exempt. They may not isolate.

Questions?